

MANAGEMENT'S DISCUSSION AND ANALYSIS (Item 7) — Results of Operations: Overview We are a global leader in designing, marketing, and distributing innovative footwear, apparel, and accessories developed for both everyday casual lifestyle use and high-performance activities. We market our products primarily under three proprietary brands : HOKA , UGG , and Teva . Refer to the section below entitled “Reportable Operating Segments Overview” for information regarding the phase out of standalone operations for the Koolaburra brand and AHNU brand, and the prior sale of the Sanuk brand. Our brands compete across the fashion and casual lifestyle, performance, running, and outdoor markets. We believe our products are distinctive and appeal to a broad demographic. Our brands sell our products through quality domestic and international retailers and international distributors in our wholesale channel, and directly to global consumers through our DTC channel, which is comprised of an e-commerce and retail store presence. We seek to differentiate our brands and products by offering diverse lines that emphasize fashion, performance, authenticity, functionality, quality, and comfort, and products tailored to a variety of activities, seasons, and demographic groups. Independent third-party contractors manufacture all of our products.

Financial Highlights Consolidated financial performance highlights for fiscal year 2026 (current period), compared to fiscal year 2025 (the prior period), were as follows:

- Net sales increased 9.8% to \$5,472,296 .
- Brand ■ HOKA brand net sales increased 15.9% to \$2,587,330 .
- UGG brand net sales increased 8.2% to \$2,738,758 .
- Other brands net sales decreased 33.9% to \$146,208 .
- Channel ■ Wholesale channel net sales increased 12.3% to \$3,208,107 .
- DTC channel net sales increased 6.3% to \$2,264,189 .
- Geography ■ Domestic net sales increased 0.2% to \$3,191,518 .
- International net sales increased 26.8% to \$2,280,778 .
- Gross profit as a percentage of net sales (gross margin) decreased 20 basis points to 57.7% .
- SG&A expenses increased 11.0% to \$1,894,823 .
- Income from operations increased 7.1% to \$1,262,903 .
- Income from operations as a percentage of net sales (operating margin) decreased 50 basis points to 23.1% .
- Diluted earnings per share increased 10.9% to \$7.02 per share.

Trends And Uncertainties Impacting Our Business And Industry Our business and industry are subject to several important trends and uncertainties, including the following:

- **Macroeconomic and Geopolitical Factors** • Macroeconomic factors, including inflationary pressures, increased tariffs, rising supply chain costs, high interest rates, foreign currency exchange rate volatility, escalating global conflicts, changes in discretionary spending, and recession risks, are creating a complex and challenging environment for our business and industry that may continue to pressure our results of operations, including our gross margin . For example, prolonged or escalating conflicts in the Middle East could disrupt our supply chain and increase energy, transportation, and commodity costs, as well as cause shipping delays. While these factors did not materially impact our results of operations during the current period , they could negatively affect us in future periods .
- We are exposed to risks from evolving trade policies, including higher tariffs and restrictions affecting goods imported from certain regions where we have a concentration of sourcing and manufacturing . Recent judicial, regulatory, and administrative developments regarding tariffs imposed under the International Emergency Economic Powers Act and other authorities have increased uncertainty related to both our future duty costs and potential recovery of previously paid duties. The US Customs and Border Protection have announced a phased process for submitting refund requests; however, the availability, timing, and amount of any refunds remain uncertain. As of March 31, 2026, we have not recognized any amounts related to potential tariff refunds or other recoveries. We continue to monitor developments and pursue mitigation strategies, including selective pricing actions, inventory and sourcing management, supplier diversification, and negotiating cost-sharing arrangements; however, we may be unable to offset tariff-related cost impacts, which could materially and adversely affect our gross margin and demand for our products.

Brand and Omnichannel Strategy • We are focused on increasing global consumer awareness, cultural relevance, and adoption of our brands, which has contributed positively to our results of operations. Our global brand growth strategy seeks to drive adoption through product innovation and marketing investments across geographies and channels , while enhancing the customer experience through category expansion and loyalty-driven engagement .

- We continue to manage marketplace inventory through product segmentation and differentiation . During the current period , promotional activity slightly increased compared to exceptionally low levels in the prior period ; however, we continued to achieve high levels of full-price sell through by aligning product assortments with marketplace demand. These efforts contributed to largely maintaining our gross margin compared to the prior period , even as the retail environment became more promotional. We may not realize similar gross margin benefits in our fi scal year ending March 31, 2027 (next fiscal year) due to various factors, including the macroeconomic and geopolitical factors discussed above and the potential impact from our pricing strategies .
- Our long-term strategy is to grow our DTC channel to represent a larger

portion of our total net sales by differentiating the consumer experience relative to the wholesale channel and driving consumer acquisition and retention. We are investing in e-commerce platform upgrades, data analytics, consumer experience initiatives, and selective global retail store expansion. We expect growth in our DTC channel's net sales to continue to positively impact our gross margin; however, as we also seek to expand distribution with wholesale partners to drive brand awareness and market share, our wholesale channel may represent a larger portion of our net sales in certain periods, which could pressure gross margin in those periods. • We are pursuing growth strategies for the HOKA brand and UGG brand to grow international sales to represent a larger portion of our total net sales. We continue to selectively expand our HOKA brand presence through additional wholesale partner locations and targeted DTC channel retail store expansion. We are also investing in regions that provide influential market presence to build brand awareness, including through the launch of our US HOKA brand loyalty program during fiscal year 2026. We expect to continue investing in the UGG brand and HOKA brand global loyalty programs. • We continue to take actions to reposition the Teva brand, including refocusing certain wholesale channel distribution toward outdoor and premium retail partners and emphasizing brand messaging around its outdoor-adventure heritage. Our efforts to reposition the Teva brand and our future results of operations remain uncertain. In particular, macroeconomic pressure on value-oriented domestic wholesale consumers may continue to adversely affect Teva brand performance. Supply Chain • To support our growth, we continue to invest in our global distribution network, including our warehouses and DCs, as well as 3PLs. We also continue to diversify our independent manufacturers and the regions in which they operate; however, we maintain a significant concentration of sourcing and manufacturing in Southeast Asia. In addition, we are currently transitioning one of our international 3PLs to a new partner, which may create temporary operational risks. We expect to continue upgrading our global distribution network to continue meeting customer and consumer demand. Reportable Operating Segments Overview As of March 31, 2026, our three reportable operating segments include the worldwide operations of the HOKA brand, UGG brand, and Other brands. HOKA Brand. The HOKA brand is an authentic premium line of year-round performance footwear, which offers enhanced cushioning and inherent stability with minimal weight. Originally designed for ultra-runners, the brand now appeals to world champions, tastemakers, and everyday athletes. Expansion into additional product categories, elevated marketing campaigns, and investments in brand experiences, coupled with strategic marketplace presence have fueled both domestic and international sales growth of the HOKA brand, which has quickly become a leading brand within run and outdoor specialty wholesale accounts and is growing across its global marketplace. The HOKA brand's product line includes running, trail, hiking, fitness, and lifestyle footwear offerings, as well as apparel and accessories. We believe demand for HOKA brand products will continue to be driven by the following: • Leading performance product innovation, a deep

RISK FACTORS (Item 1A) — risk headings by category:

Risks Related to Our Global Business Strategy and Operations, and International Operations

Risks Related to Our Business and Industry - The footwear, apparel, and accessories industry is subject to rapid changes in consumer preferences, and if we do not accurately anticipate and promptly respond to consumer demand and spending patterns, we could lose sales, our relationships with customers could be harmed, and our brand loyalty could be diminished. - Our success depends, in part, on brand loyalty, and there can be no assurance that consumers will continue to prefer our brands. - Consumer demand for our products relies on the continued strength of our brands, which in turn depends on our ability to anticipate, understand, and respond promptly to evolving preferences, fashion trends, and consumer spending patterns with appealing merchandise and effective brand-building initiatives. - As our brands and product offerings evolve, our products must appeal to a broader and more diverse range of consumers whose preferences cannot be predicted with certainty. - New products may not achieve market acceptance, including due to pricing that consumers are unwilling to bear, or our brands may fall out of favor, which could impede our ability to maintain or grow sales, adversely affect brand perception, and negatively impact our results of operations. - If we do not effectively respond to these changes, we could experience reduced sales and pressure on our gross profit as a percentage of net sales (gross margin), including as a result of reduced pricing power and increased reliance on promotional activity. - The value of our brands is also driven by evolving consumer perceptions, including shifting ethical, political, or social standards. - These risks may be amplified by adverse publicity concerning us or our products, brands, marketing campaigns, partners, or endorsers, particularly where social media and digital marketing channels accelerate the dissemination, amplification, or persistence of negative claims, regardless of their accuracy, which could harm our reputation and sales and have a material adverse effect on our business. - If our brand-related initiatives, including loyalty programs, fail to drive sustained consumer engagement or incremental demand, or involve increased

costs or operational complexity that negatively affect customer perceptions, we could experience reduced sales and pressure on our gross margin , adversely affecting our results of operations. - Changes to economic conditions may adversely affect our financial condition and results of operations. - A significant portion of our HOKA brand and UGG brand products are premium, discretionary purchases, and demand for these products is sensitive to macroeconomic factors, including inflation , wages and employment, consumer debt, declines in net worth driven by market conditions, interest rates, tariffs, and public health issues such as a pandemic. - During periods of economic uncertainty, consumers may reduce discretionary purchases, trade down to lower-priced alternatives, or delay buying decisions, which could require us to increase promotional activity or reduce prices, adversely affecting our sales and profitability .

Risks Related to Technology, Data Security and Privacy - A security breach or disruption to our IT systems could materially harm our business, disrupt our operations, or result in unauthorized disclosure of sensitive information, which could damage our relationships, expose us to litigation or regulatory proceedings, or harm our reputation, any of which could materially and adversely affect our business and results of operations. - Our operations also depend on the continued performance of internal information systems and third-party technology providers, including systems utilizing data analytics and AI , to prevent unauthorized access and to respond quickly and effectively to data security incidents. - Any such event could result in reputational harm, loss of customer trust, strained relationships with partners and suppliers, litigation, fines, penalties, or regulatory actions under domestic and international data protection and privacy laws and could materially and adversely affect our business, financial condition, or results of operations.